Drinkworks

The Future of Home Cocktails



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Qualitative Analysis

Customers

- Customers who enjoy cocktails but find making them incovenients.
- Weekly hosters (especially younger) are the strongest fit who like entertaining family and friends

Company

- Joint venture between Keurig (coffee capsule expertise) and AB InBev (distribution powerhouse)
- Applying “Keurig for cocktails” model, put in a pod, press a button, get a cocktail fast (under a minute).

Competitors

- Most Direct Threat-Bartesian
- Indirect- Ready-to-Drink (RTD) Cocktails, Subscription Boxes & Kits, Traditional ways that is bar/ restaurant/ home mixing

Collaborators

- Big retail can help sell the machine, but alcohol pods often need separate channels.
- Liquor Stores/Licensed Retailers
- Traditional Retail (Target, Best Buy)
- E-commerce (Own Website, Amazon)
- Potential Brand Partners

Context

- Regulations: Alcohol rules are strict and vary by state (age limits, shipping rules, where alcohol can be sold).
- Trends: premium drinking and home entertainment have risen

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Qualitative Analysis

VALUE PROPOSITION

Unlike Home Bartending Kits and mixer only machines

Our Drinkworks Home Bar

Helps alcohol loving households

Who Want to enjoy bar quality drinks at home with a single tap serve system

By using proprietary brewing technology to create a one step “press and pour” experience

Qualitative Analysis

At-home drinking is rising with cocktail consumption not following the same trend (23% outside vs 19% at home)

Consumers want the convenience of a bar-quality cocktail at home with minimal effort: No Measuring, No Mixing, No cleanup, just press and pour

Alcoholic Pods Vs Non-Alcoholic Pods

Category	Strengths	Weakness	Key Consumers
Alcoholic Pods	• Full “Press and Pour” bar-quality cocktails • Proprietary brewing tech creates moat	Regulatory & distribution barriers	Premium hosts, multi-category drinkers who value convenience over craft
Non-Alcoholic Pods	• Avoids alcohol regulation • Lower variable cost without excise tax	• Consumer must supply own alcohol • Risks Drinkworks getting perceived as “another mixer machine”	Light drinkers who already keep spirits at home

Alcoholic Pods resonate most with heavy users + frequent hosts, who want a premium but effortless home bar solution

Non-Alcoholic Pods avoid regulation but kill differentiation. Pursuing mixers repositions Drinkworks as a Bartesian competitor instaed of a category creator

Quantitative Analysis

Pilot Customer Base

500k+

120.5m households x 21% Targeted segment x 3.8% capture rate x 59% Qualified

Gross Revenue

$650m+

$170m on device + $500m on pods

Option A - Pilot Suggestion

$299

Device

$3.5

Pod

Premium device funds ecosystem. Lower pod price sustains usage.

Option B - Research Basis

$199

Device

$4

Pod

Subsidize hardware, extract on consumables.

Willingness to Pay (WTP)

DEVICE					
Device Price	**% WTP**	**COGS**	**GP per Device**	**Gross Margin %**	**Profitable?**
$499	1.60%	$250	$249.00	49.90%	Yes
$399	2.10%	$250	$149.00	37.30%	Yes
$299	3.80%	$250	$49.00	16.40%	Yes
$249	4.70%	$250	($1.00)	-0.40%	No
$199	6.90%	$250	($51.00)	-25.60%	No
$149	10.50%	$250	($101.00)	-67.80%	No

ALCOHOLIC COCKTAIL PODS					
Pod Price	**% WTP**	**Variable Cost**	**Excise Tax**	**Contribution / Pod**	**Contrib Margin %**
$6.00	39.10%	$1.20	$0.13	$4.68	77.90%
$5.00	45.50%	$1.20	$0.13	$3.68	73.50%
$4.50	46.00%	$1.20	$0.13	$3.18	70.60%
$4.00	51.50%	$1.20	$0.13	$2.68	66.90%
$3.50	54.50%	$1.20	$0.13	$2.18	62.10%
$3.00	57.40%	$1.20	$0.13	$1.68	55.80%
$2.00	72.80%	$1.20	$0.13	$0.68	33.80%

**Showcasing only Alcoholic pods for presentation purposes*

Quantitative Analysis

Devices	DTC (Website)	Amazon / E-Commerce	Traditional Retail
Consumer Retail Price	$299	$299	$299
Channel Margin %	0.00%	20.00%	30.00%
Channel Margin Deduction	$0.00	$59.80	$89.70
Shipping Cost	$15.00	$0.00	$0.00
Net Revenue to Drinkworks	**$284.00**	**$239.20**	**$209.30**
Device COGS	$250	$250	$250
Device Gross Profit / (Loss)	**$34.00**	**($10.80)**	**($40.70)**
Device Gross Margin %	12.00%	-4.50%	-19.40%

Device Unit Economics

- Direct to Consumer is the only channel where device generates positive Gross Profit
- Target Segment leans towards online dominant shopping rather than retail dominant shopping due to convenience.

Pods	Cocktail Pod (Alc)	Beer/Cider Pod	Mixer Pod (Non-Alc)
Consumer Retail Price per Pod	$3.50	$3.50	$4.00
Retail Store Margin (30%)	$1.05	$1.05	$1.20
Wholesale Price	$2.45	$2.45	$2.80
Wholesaler Margin (22.5%)	$0.55	$0.55	$0.63
Net Revenue to Drinkworks per Pod	**$1.90**	**$1.90**	**$2.17**
Variable Cost per Pod	$1.20	$1.10	$0.95
Excise Tax per Pod	$0.13	$0.13	$0.00
Contribution per Pod	**$0.57**	**$0.67**	**$1.22**
Contribution Margin % (on net revenue)	30.20%	35.50%	56.20%

Pod Unit Economics

- Mixer Pods have highest margin % but choice is restricted due to qualitative factors like:
  - Brand Dilution/Confusion: Upon launch, perceived as Bartesian competitor instead of Unique Innovation
  - Core Conflict: No synergy with existing brewing infra, not leveraging AB InBev's regulatorry licenses or supply chain

Quantitative Analysis

YEAR 1 P&L - DRINKWORKS (10,000 Devices, Cocktail Pods Only)			
	Option A	**Option B**	**Delta**
DEVICE REVENUE			
Retail Revenue	$2,990,000	$1,990,000	$1,000,000
Channel Margin	-	-	-
Shipping	$150,000	$150,000	-
Device Net Revenue	**$2,840,000**	**$1,840,000**	**$1,000,000**
POD REVENUE (Cocktail, after 2-tier distribution)			
Retail Revenue	$10,010,000	$11,440,000	($1,430,000)
Retail Margin (30%)	$3,003,000	$3,432,000	($429,000)
Wholesaler Margin (22.5%)	$1,576,575	$1,801,800	($225,225)
Pod Net Revenue	**$5,430,425**	**$6,206,200**	**($775,775)**
TOTAL NET REVENUE TO DRINKWORKS	**$8,270,425**	**$8,046,200**	**$224,225**
COST OF GOODS SOLD			
Device COGS	$2,500,000	$2,500,000	-
Pod COGS	$3,789,500	$3,789,500	-
Total COGS	**$6,289,500**	**$6,289,500**	**-**
GROSS PROFIT	**$1,980,925**	**$1,756,700**	**$224,225**
Gross Margin %	24.00%	21.80%	
Customer Acquisition Cost	$1,000,000	$1,000,000	-
CONTRIBUTION AFTER CAC	**$980,925**	**$756,700**	**$224,225**
Contribution Margin %	11.90%	9.40%	

+$224k

Advantage for Option A at 10k scale

+357

Additional Pods

68

of Weeks

to recover Option B’s hardware loss

Recommendation

We recommend a phased pilot rollout. The device makes money from unit one, the pod price sits below the $4 value cliff that collapsed trial satisfaction, and device priced at $299 with cocktail pods priced at $3.5 wins Year 1 economics outright without relying on retention assumptions. A pilot in regulatory friendly states validates the model before any national commitment, giving us a clear exit if the numbers don't hold and a proven playbook if they do.

Phase 1 (6 month Pilot)

Product Configuration

- Alcoholic cocktail pods only, no mixers, no beer/cider at launch. Lean menu of 8-10 top-performing cocktail varieties.

Target Customer Segments

- Premium home entertainers and drinkers. Frequent hosts who spend $50+/month on spirits and value convenience over craft.

Pricing Approach

- Device at $299 (positive GP from unit one).
- Cocktail pods at $3.50 (below $4 value cliff, ~54% WTP)
- No introductory discounts, validate real-market willingness to pay.

Distribution Priorities

- Device sold primarily via DTC (~90-95% share) and e-commerce channels to initiate visibility (~5-10% share)
- Pods through existing AB InBev wholesale → liquor retail network.

Phase 2 (12 month Expansion)

Scale What Works

- Roll into states with favorable alcohol distribution infrastructure and proven AB InBev wholesale relationships.
- Prioritize markets where pilot KPIs exceeded Go thresholds:
  - Retention holds in longer time frames
  - Monitor distribution model
  - Check consumer price sensitivity & sentiment

Expand the Pod Menu

- Introduce seasonal and premium cocktail SKUs based on pilot consumption data.
- Analyze competitor performance and consumer preferences and plan for mixers & beer/cider pods.

Strengthen Distribution

- Deepen partnerships and try to negotiate for lower margins.
- Build subscription/auto-replenishment model.

Phase 3 (Nationwide Rollout)

Full Market Entry

- National availability through AB InBev's full distribution network, the largest alcohol distribution footprint in the US.
- Device placement in mass retail (Best Buy, Target) alongside DTC channel.

Platform Ecosystem

- Launch connected app for reordering, cocktail discovery, and usage-based recommendations.
- Explore co-branded pod partnerships with premium spirit brands for limited editions.

Defensible Category Leadership

- By Phase 3, Drinkworks owns the installed base, the pod format, and the only licensed alcohol-in-pod technology. Competitors face 2-3 year regulatory and manufacturing lag to enter. First-mover advantage compounds.

Focus on Lifetime value optimization

- Scale subscriptions/bundles, expand assortment, and strengthen repeat-purchase mechanics to maximize LTV


Thank You!